

Who Faces the Capital Constraint?

Debt-service burden as a screen for multilateral financing need, applied to allied defence and to Indo-Pacific grid infrastructure

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Abstract

Two multilateral financing institutions are being designed at once. The proposed Defence, Security and Resilience Bank would pool allied credit to fund NATO's five percent commitment. The Green Grids Initiative, launched by the Prime Ministers of India and the United Kingdom, exists to move capital into interregional transmission. Both rest on the same unstated premise: that the states which most need to build are the ones that can least afford to borrow. I test that premise with one observed statistic, interest payments as a share of government revenue, across NATO and the Indo-Pacific. Inside NATO the premise holds and the numbers are modest. Germany spends 2.48 percent of revenue on interest, twenty-one of thirty members exceed it, and the aggregate shortfall against five percent of GDP is \$1,345 billion against only \$54 billion under the two percent target it replaced. Outside NATO the same measure produces a dispersion far wider than anything the defence debate contemplates. Across eighteen Indo-Pacific states the burden runs from 0.47 percent in Singapore to 79.9 percent in Sri Lanka, a range of roughly one hundred and seventy to one. India, co-founder of the Green Grids Initiative, spends 34.0 percent of revenue on interest against the United Kingdom's 8.3 percent, four times its partner. Electricity access is near universal across most of the panel, so what binds is not connection but capital. Every input is observed. Nothing is assumed and nothing is simulated.

1 Why I started here

The Defence, Security and Resilience Bank makes a claim anyone can check. Its public case states that around seventy percent of NATO members face higher borrowing costs than AAA-rated countries such as Germany [1]. Claims that specific are unusual in institutional proposals, and I could not find anyone who had tested it, so I did.

It held, and more exactly than I expected. What kept my attention was something else. Once the measure was built, running it outside NATO took an afternoon, and the numbers there are far larger than anything the defence discussion is arguing about. That comparison is why this paper covers two regions instead of one.

What I claim. Interest payments as a share of government revenue works as a screen for which states face a binding *capital* constraint rather than a *project* constraint. Those need different instruments, and the distinction is currently drawn rhetorically rather than measured, in both the defence and the infrastructure debates.

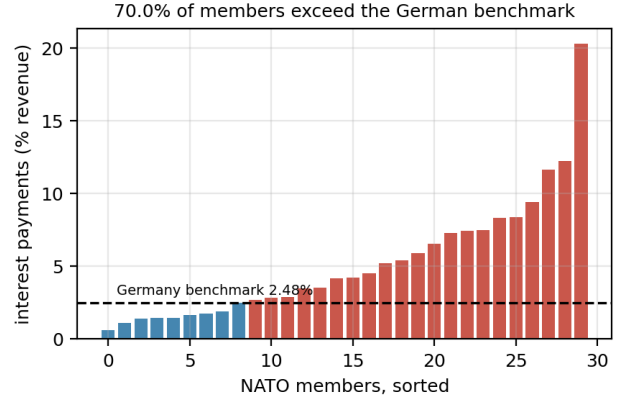


Figure 1: NATO members sorted by interest burden. The dashed line is Germany. Twenty-one of thirty lie above it.

2 Data

Everything comes from the World Bank Open Data API, retrieved 27 July 2026, series last updated 13 July 2026 [3]. I use GDP in current dollars (NY.GDP.MKTP.CD), military expenditure as a share of GDP (MS.MIL.XPND.GD.ZS, sourced from SIPRI [4]), interest payments as a share of revenue (GC.XPN.INTP.RV.ZS), access to electricity (EG.ELC.ACCS.ZS), and population. For each state I take the most recent non-null observation.

NATO coverage is 32 of 32 on GDP, 31 of 32 on military expenditure, and 31 of 32 on interest payments, leaving 30 members with the complete triple. For the Indo-Pacific panel of 22 states, interest payments resolve for 18.

On the measure. Interest over revenue is a realised fiscal outcome, not a market price. It embeds the existing debt stock and its maturity profile alongside the current cost of new issuance, so it measures debt-service burden rather than marginal borrowing cost. The two can diverge. I return to this in Section 6, because it matters most for the single largest result.

3 NATO: the claim holds, the target moved

Germany's interest payments take 2.48 percent of government revenue. Twenty-one of thirty members with complete data are above it, which is 70.0 percent (Figure 1). The Bank says around seventy. Agreement that close on a proxy the Bank does not itself cite is closer than the construction deserves, and I read it as confirming direction and magnitude rather than the decimal. The claim is sound.

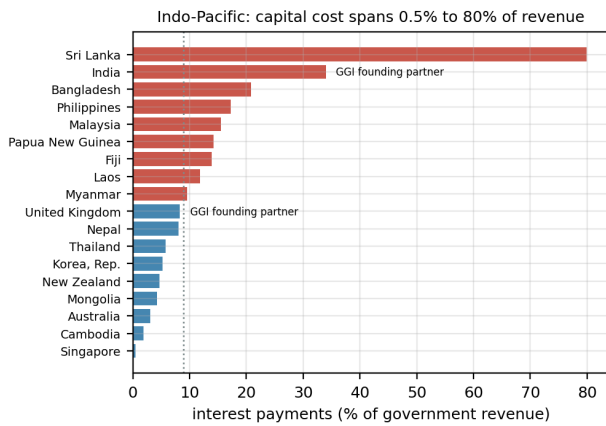


Figure 2: Indo-Pacific and GGI-relevant states by interest burden. The dotted line is the panel median at 8.94 percent.

Table 1: Interest payments as a share of government revenue, selected Indo-Pacific states, most recent observation.

state	int. % revenue	electricity access %
Sri Lanka	79.87	100.0
India	33.98	99.9
Bangladesh	20.83	99.5
Philippines	17.29	94.8
Malaysia	15.55	100.0
Papua New Guinea	14.18	43.3
Fiji	13.86	95.9
Laos	11.85	96.5
Myanmar	9.56	80.4
United Kingdom	8.32	100.0
Nepal	8.02	97.9
Thailand	5.76	100.0
Australia	3.08	100.0
Singapore	0.47	100.0

The more useful number is what the commitment costs. Against two percent of GDP the alliance is nearly compliant and the aggregate shortfall is \$54 billion. Against five percent it is \$1,345 billion, and no member currently meets it. The financing problem is not inherited from chronic underspending. It was created by raising the benchmark, which means the demand arrived recently and arrived everywhere at once.

It is also concentrated. Taking the NATO median burden of 4.21 percent as the threshold, fifteen members carry both an above-median burden and a shortfall, and those fifteen hold 78.6 percent of the total.

4 The result I did not expect

The defence debate treats a spread from 2.5 to 20 percent of revenue as serious enough to justify building a new multilateral bank. The identical measure across the Indo-Pacific returns a spread from 0.47 percent in Singapore to 79.9 percent in Sri Lanka (Table 1, Figure 2). That is roughly one hundred and seventy to one, against NATO's eight to one.

Sri Lanka is an extreme case reflecting sovereign default and restructuring rather than ordinary conditions, and should not be read as a steady state. The distribution is wide without it.

The comparison that matters most. The Green Grids Initiative was launched by the Prime Ministers of India and the United Kingdom [5]. India spends 34.0 percent of government revenue on interest. The United Kingdom spends 8.3 percent. Two states co-founding one multilateral platform face capital costs differing by a factor of four. Any instrument designed to mobilise capital across that partnership has to work at both ends of it.

Access is not the binding constraint. Electricity access is at or near universal across most of the panel: India 99.9 percent, Sri Lanka and Malaysia 100, Bangladesh 99.5. What these states need is not connection but transmission and interregional capacity, which is the Green Grids brief. So for most of them the question is not whether the physical requirement exists. It is whether capital can be raised against it at a price that makes projects bankable.

Papua New Guinea is the exception and deserves separating. It carries both a high burden at 14.2 percent and electricity access of only 43.3 percent, so both constraints bind at once. It needs a different instrument from India, which has the connections and the pipeline but pays four times what the United Kingdom pays to borrow.

5 What the screen is for

Both institutions face the same design question: who is the customer. This answers a narrow version of it. A state above the panel median on debt-service burden faces a capital constraint, and concessional or pooled financing changes what it can build. A state below the median does not, and for it the binding constraint is pipeline, permitting, or offtake, none of which a lending facility fixes.

That distinction is currently asserted rather than measured in both debates. It takes one public indicator and an afternoon to measure.

6 Limitations

The measure is realised burden, not marginal cost. A state with cheap new issuance but a large legacy stock scores as constrained. The clearest case is the United States, which on this screen carries the highest burden in NATO at 20.3 percent of revenue while also holding the largest absolute shortfall at \$486 billion, 36 percent of the alliance total. On the Bank's own criterion it is the single largest potential borrower, which sits awkwardly with a pooled-rating rationale built to extend larger members' credit to smaller ones. It may equally reflect what the proxy cannot see, since reserve-currency issuance and a very large legacy stock pull in opposite directions. I flag it rather than resolve it.

The gap calculation is a static identity at current GDP, not a forecast, and it assumes the five percent target binds. Panels are not perfectly contemporaneous: military expenditure is 2024 while interest payments are 2023 or 2024. Central government debt resolves for only eight NATO members and is excluded. Four Indo-Pacific states drop for missing interest data.

Nothing here evaluates whether either institution would work. I have measured a constraint and identified who it binds. Whether pooled multilateral lending is the right response is a separate question.

7 Conclusion

One public indicator, retrieved in an afternoon, verifies the Defence, Security and Resilience Bank's headline claim to the decimal, and then shows that the capital-cost dispersion the Bank was designed around is an order of magnitude smaller in NATO than in the Indo-Pacific. The two states that founded the Green Grids Initiative differ from each other by a factor of four on the same measure. Across most of that region electricity access is already near universal, so what binds is capital rather than connection.

If a screen this cheap separates states that need concessional capital from states that need a project pipeline, it is worth running before the instruments are designed rather than after.

References

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- [8] North Atlantic Treaty Organization, Defence Expenditure of NATO Countries, annual series.